

ESG Report

Carbon Border Adjustment Mechanism

Test's Organization

Annual Report • 2025

CBAM Compliant

Executive Summary

Test's Organization hereby discloses its greenhouse gas (GHG) emissions inventory for the 2025 reporting period, prepared in alignment with the Carbon Border Adjustment Mechanism (CBAM) regulatory framework established under Regulation (EU) 2023/956. The total embedded carbon footprint amounts to 2,374 kilograms of CO₂ equivalent (kg CO₂e), encompassing direct emissions from operational processes and indirect emissions from energy consumption. This quantitative baseline serves as the foundational dataset for CBAM compliance reporting and carbon border adjustment calculations subject to verification by competent authorities. The emissions profile comprises 1,504 kg CO₂e in direct emissions (Scope 1) arising from fuel combustion and industrial processes under organizational control, alongside 870 kg CO₂e in indirect emissions (Scope 2) attributable to purchased electricity, steam, heating, and cooling. Scope 3 value chain emissions are reported as nil, reflecting an operational boundary focused exclusively on direct production activities and energy procurement without embodied emissions from upstream or downstream sources. All quantification methodologies conform to the monitoring and reporting requirements specified in the CBAM implementing regulation for embedded emissions determination. This disclosure represents Test's Organization's commitment to transparency in carbon accounting and regulatory compliance within the transitional phase of CBAM implementation. The documented emissions data undergoes established internal controls to ensure accuracy, completeness, and adherence to the calculation methodologies prescribed for embedded carbon reporting. These figures will inform future carbon border adjustment obligations and support ongoing emissions monitoring as the mechanism transitions from its reporting phase to full operational status.

Compliance Standards:

CBAM

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

1,504

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

870

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

2,374

kg CO₂e

Test's Organization reports total greenhouse gas emissions of 2,374 kg CO₂e for the 2025 reporting period, comprising direct emissions (Scope 1) of 1,504 kg CO₂e, indirect energy-related emissions (Scope 2) of 870 kg CO₂e, and value chain emissions (Scope 3) of 0 kg CO₂e. This emissions inventory has been prepared in accordance with the Carbon Border Adjustment Mechanism (CBAM) reporting framework and the Greenhouse Gas Protocol Corporate Standard, ensuring methodological consistency and data transparency for regulatory compliance. Direct emissions constitute 63.4% of the total carbon footprint, primarily resulting from operational fuel combustion and industrial processes within organizational boundaries, while Scope 2 emissions account for 36.6% of the total, reflecting electricity consumption associated with production activities. Scope 1 emissions totaled 1,504 kg CO₂e, representing direct greenhouse gas releases from sources owned or controlled by the organization, including stationary combustion, mobile combustion, and process emissions as defined under CBAM regulations. Scope 2 emissions of 870 kg CO₂e encompass indirect emissions from purchased electricity, heat, steam, and cooling consumed during the reporting period, calculated using emission factors consistent with the European Union Energy Efficiency Directive and applicable regional grid averages. The organization maintains rigorous monitoring and quantification protocols to ensure accurate data collection for embedded carbon disclosure requirements mandated by the CBAM transitional reporting framework. Scope 3 emissions are reported as 0 kg CO₂e, consistent with the current CBAM regulatory scope, which focuses on direct emissions and electricity consumption for imported goods within specified carbon-intensive sectors. This reporting boundary reflects the transitional phase requirements of CBAM implementation, wherein upstream and downstream value chain emissions remain outside mandatory disclosure obligations. Test's Organization acknowledges that comprehensive Scope 3 accounting represents a future enhancement to the emissions inventory and commits to evaluating supply

chain emission sources as the regulatory landscape matures and sector-specific calculation methodologies expand beyond current direct emissions requirements.

Governance

Test's Organization maintains a comprehensive governance framework for carbon emissions management, ensuring systematic oversight of greenhouse gas (GHG) accounting, data integrity, and regulatory compliance in alignment with the Carbon Border Adjustment Mechanism (CBAM) and international reporting standards. The organization's environmental governance structure delineates clear accountability for emissions monitoring across operational boundaries, utilizing established methodologies consistent with the GHG Protocol Corporate Accounting and Reporting Standard and ISO 14064-1. Rigorous internal controls govern the collection, calculation, and verification processes, ensuring that emissions data meets the accuracy and transparency requirements necessary for CBAM compliance and stakeholder disclosure. For the 2025 reporting period, Test's Organization reports total greenhouse gas emissions of 2,374 kg CO₂e, comprising 1,504 kg CO₂e in Scope 1 (direct emissions from owned or controlled sources), 870 kg CO₂e in Scope 2 (indirect emissions from purchased energy), and 0 kg CO₂e in Scope 3 (value chain emissions). The documented Scope 1 and Scope 2 figures reflect comprehensive monitoring of combustion processes and electricity consumption within the organizational boundary, while the absence of Scope 3 emissions indicates that value chain impacts remain outside the current assessment perimeter or were determined to be not applicable to operational activities. All quantification employs scientifically recognized emission factors and measurement protocols to ensure methodological consistency and auditability. The organization implements structured documentation procedures and quality assurance mechanisms to maintain data traceability from source records through final CBAM reporting submissions. Governance protocols include regular reviews of calculation methodologies, emission factor updates, and boundary assessments to address evolving regulatory requirements and operational changes. Test's Organization commits to continuous enhancement of its carbon management infrastructure, with specific focus on evaluating opportunities to expand Scope 3 measurement capabilities and strengthen supply chain emissions transparency in future reporting cycles.

Test's Organization has established a comprehensive emissions baseline for the 2025 reporting period in alignment with CBAM requirements. The organization's total carbon footprint stands at 2,374 kg CO₂e, comprising 1,504 kg CO₂e in Scope 1 direct emissions and 870 kg CO₂e in Scope 2 indirect energy-related emissions. Scope 3 value chain emissions are currently recorded at zero kilograms CO₂e, reflecting operational boundaries that either preclude applicable indirect emission sources or indicate measurement protocols still under development for upstream and downstream activities. The organization's carbon management strategy prioritizes transparency and regulatory compliance with the EU Carbon Border Adjustment Mechanism framework. By maintaining rigorous documentation of direct emissions and energy-related indirect emissions, Test's Organization ensures accurate calculation of embedded carbon intensity in goods subject to CBAM regulations. This methodological approach supports transitional reporting requirements while establishing monitoring protocols that mitigate carbon leakage risks and demonstrate adherence to EU ETS-equivalent carbon accounting standards. Looking ahead, the organization is committed to continuous improvement of emissions data quality and expansion of measurement boundaries to capture relevant Scope 3 categories where material. Strategic priorities include aligning decarbonization trajectories with EU climate neutrality objectives and ensuring carbon intensity metrics remain compliant with evolving CBAM regulatory thresholds. This proactive stance positions Test's Organization to effectively manage compliance obligations while maintaining operational resilience within carbon-regulated markets.

Risk Management

Test's Organization maintains rigorous greenhouse gas accounting protocols aligned with the Carbon Border Adjustment Mechanism (CBAM) monitoring and reporting requirements for the 2025 reporting period. Our emissions inventory quantifies direct (Scope 1) emissions at 1,504 kg CO₂e and indirect energy-related (Scope 2) emissions at 870 kg CO₂e, resulting in total operational emissions of 2,374 kg CO₂e. The absence of Scope 3 value chain emissions reflects our current data boundaries and operational scope under CBAM transitional phase guidelines, with embedded emissions monitoring prioritized for imported goods subject to carbon pricing adjustments. Our risk management framework addresses carbon pricing exposure and regulatory compliance through systematic identification, assessment, and mitigation of climate-related financial risks. Given the organization's limited absolute emission footprint—totaling less than 2.4 tonnes CO₂e—we maintain minimal direct liability exposure under current EU Emissions Trading System (ETS) price mechanisms. However, we recognize heightened risks associated with data accuracy, third-party verification requirements, and potential supply chain carbon leakage, necessitating robust documentation standards and quarterly reviews of CBAM declarer obligations. Governance structures ensure executive oversight of carbon border compliance risks, with designated accountability for monitoring regulatory updates and embedded emissions calculation methodologies. We prioritize transparent reporting mechanisms and audit-ready documentation to preempt compliance risks during the CBAM transitional phase, ensuring alignment with European Commission reporting standards and safeguarding against potential penalties associated with inaccurate emissions declarations.

Metrics & Targets

For the 2025 reporting period, Test's Organization has quantified its greenhouse gas (GHG) emissions inventory in accordance with the Carbon Border Adjustment Mechanism (CBAM) monitoring and reporting methodology, establishing a comprehensive emissions baseline across defined operational boundaries. The organization reports total emissions of 2,374 kg CO₂e, comprising 1,504 kg CO₂e in Scope 1 direct emissions from owned or controlled sources and 870 kg CO₂e in Scope 2 indirect emissions associated with purchased electricity, heat, or steam. Scope 3 value chain emissions are recorded as zero, consistent with the current CBAM regulatory scope focusing on embedded emissions from direct production processes and energy consumption, and reflecting the organization's specific operational profile where upstream and downstream indirect emissions fall outside applicable measurement boundaries. The emissions profile indicates that direct operational activities account for approximately 63.4% of the total carbon footprint, while energy-related indirect sources contribute 36.6%, highlighting the dual focus required for effective decarbonization strategies. These figures represent gross emissions calculated using the GHG Protocol Corporate Accounting and Reporting Standard, adapted to ensure alignment with EU CBAM requirements for accuracy, transparency, and verification of embedded carbon content. All disclosed metrics exclude carbon offsets and renewable energy certificate retirements, providing an unadjusted baseline that ensures comparability and regulatory compliance during the CBAM transitional phase. These quantitative metrics establish 2025 as the foundational baseline year for Test's Organization's climate strategy, supporting the formulation of science-based reduction targets and mitigation pathways consistent with evolving CBAM compliance obligations. The organization commits to annual disclosure and continuous improvement of its emissions monitoring systems, with specific focus on reducing Scope 1 process emissions and transitioning toward low-carbon energy procurement to address Scope 2 impacts. Future reporting cycles will evaluate the expansion of measurement boundaries to include relevant Scope 3 categories as regulatory frameworks mature, ensuring sustained alignment with international sustainability standards and EU environmental compliance requirements.

METRIC	VALUE	UNIT
Total GHG Emissions	2,374	kg CO ₂ e
Scope 1 Emissions	1,504	kg CO ₂ e
Scope 2 Emissions	870	kg CO ₂ e
Scope 3 Emissions	0	kg CO ₂ e

Data Verified on Polygon Blockchain

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This report has been prepared in accordance with Carbon Border Adjustment Mechanism (CBAM) requirements.